

QUAN Recovery

Quantum Intelligence for Micro-Debt Collection

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Industry:	Financial Technology
Stage:	Seed
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Executive Summary

QUAN Recovery is revolutionizing the debt collection industry by making sub-\$1,000 debt collection profitable for the first time in history. Using quantum-inspired AI technology, we achieve 35% recovery rates on debt that traditional collectors abandon due to negative unit economics. **The Problem:** \$400 billion in micro-debt is written off annually because human collection costs (\$47) exceed recovery value on small balances. **Our Solution:** QUAN's AI platform reduces collection costs to \$0.50 per account while achieving 35% recovery rates through automated omnichannel campaigns. **Market Opportunity:** \$100B+ TAM with massive growth from BNPL expansion. **Competitive Advantage:** 97% profit margins through complete automation and first-mover advantage in an abandoned market. **The Ask:** \$2M Seed round to build MVP and acquire first 10 clients.

The Problem

\$400 billion in micro-debt is written off annually

Traditional debt collection costs \$47 per account, making it impossible to profitably collect on balances under \$1,000. BNPL providers, banks, and digital services hemorrhage billions in uncollected micro-debt.

Key Pain Points:

- Human collection costs (\$47) exceed recovery value on small balances
- BNPL providers losing billions to uncollected micro-debt
- Only 12% of agencies accept accounts under \$500
- Collection economics fundamentally broken for micro-debt

Market Impact: \$400B written off annually

Our Solution

AI-powered collection that costs \$0.50 per account

QUAN's AI platform reduces collection costs to \$0.50 per account while achieving 35% recovery rates through automated omnichannel campaigns and behavioral intelligence. We transform worthless debt into profitable assets.

Key Features:

- Quantum-inspired portfolio analysis
- AI-powered omnichannel outreach (SMS, email, voice)
- Behavioral prediction with 89% accuracy
- Real-time compliance engine (FDCPA/TCPA)
- Dynamic settlement optimization
- Instant payment processing

What Makes Us Different:

- 97% profit margins through complete automation
- Quantum intelligence analyzes portfolios holistically
- First-mover advantage in abandoned micro-debt market
- Compliance built-in from day 1

Core Technology:

- Quantum-inspired machine learning
- Graph neural networks for behavioral analysis
- Transformer-based negotiation AI
- Distributed processing (Ray, Kafka)

Market Opportunity

Market	Size	Description
TAM	\$100.0B	Total micro-debt market (\$100B+)
SAM	\$30.0B	US BNPL and digital banking micro-debt
SOM	\$3.0B	Target capture in 5 years

Market Segments:

Segment	Size	Growth	Description
BNPL Defaults	\$4.0B	40.0%	Klarna, Affirm, Afterpay charge-offs
Credit Card <\$1K	\$28.0B	5.0%	Small balance charge-offs from major banks
Overdrafts/NSF	\$15.0B	3.0%	Uncollected overdraft and NSF fees
Digital Subscriptions	\$36.0B	25.0%	Streaming, SaaS, subscription churn

Market Validation:

- **Klarna Credit Losses:** €1.07B (2022)
- **Affirm Charge-offs:** \$434.8M (FY2023)
- **JPMorgan Write-offs:** \$5.2B (2023)
- **Agencies accepting <\$500:** Only 12%

Competitive Analysis

Competitor	Position	Why We Win
Traditional Agencies (Economic Moat)	Market Leader	They can't compete in micro-debt economics
BNPL In-House	Challenger	We're specialists they can outsource to

Competitive Advantages:

- 97% margins vs industry losses
- Quantum analysis genuinely novel
- 2-year head start in virgin market

Defensible Moats:

- Economic moat: Profitable where others lose money
- Technical moat: Proprietary quantum-inspired AI
- Network effects: Every account improves the AI
- Regulatory moat: Compliance built-in

Business Model

Revenue Model: Contingency/Success Fee

Revenue Streams:

Stream	% Revenue	Pricing
Collection Fees	60.0%	30% of collected amount
Debt Purchase	25.0%	5-10 cents per dollar of face value
SaaS Platform	10.0%	\$499-2,499/month
Data Services	5.0%	Custom pricing

Unit Economics:

- AVG BALANCE: \$400
- RECOVERY RATE: \$0
- REVENUE PER ACCOUNT: \$42
- COST PER ACCOUNT: \$0
- PROFIT PER ACCOUNT: \$42
- MARGIN: 98.8%
- ROI: \$8,300

Financial Projections

Metric	Year 1	Year 2	Year 3	Year 4	Year 5
Revenue	\$625K	\$7.0M	\$42.0M	\$180.0M	\$540.0M
EBITDA	\$150K	\$2.8M	\$21.0M	\$110.0M	\$380.0M
EBITDA Margin	24%	40%	50%	61%	70%
Employees	3	15	45	120	250
Customers	10	75	300	1,000	2,500

Key Assumptions:

- Recovery rates improve with AI learning and scale
- Gross margins remain 80%+ due to automation
- Customer acquisition cost decreases with brand recognition
- Technology investment front-loaded in early years
- International expansion begins Year 4

Go-to-Market Strategy

BNPL Beachhead (Months 1-6)

Target Customers:

- Sezzle
- Perpay
- Splitit
- Tier 2 BNPL providers

Strategies:

- Risk-free pilots: 'We collect 35% or you pay nothing'
- Build case studies from successful recoveries
- Leverage success to approach Klarna, Affirm, Afterpay

Milestones:

- First 10 clients
- \$100K MRR

Digital Banks & Fintechs (Months 7-12)

Target Customers:

- Chime
- Varo
- Current
- Neo-banks

Strategies:

- Expand to overdraft and NSF fee recovery
- Develop specialized subscription solutions

Milestones:

- 50 clients
- \$1M MRR

Enterprise Expansion (Year 2+)

Target Customers:

- Major banks

- Credit unions
- Telecom
- Healthcare

Strategies:

- Enterprise sales team
- Strategic partnerships

Milestones:

- 1000 clients
- \$10M ARR

Key Value Propositions:

- "Turn your \$0 write-offs into 35% recovery"
- "No upfront costs - pay only on success"
- "100% compliant with zero CFPB risk"
- "7-day average resolution time"

Team

Leadership:

Greyson McGill - Founder & CEO

Entrepreneur exploring opportunities at the intersection of AI and financial infrastructure. Identified the micro-debt gap through comprehensive market research and analysis of the \$400B abandoned debt market.

Key Hires Needed:

Position	Priority	Timeline
Chief Technology Officer	Critical	Q1
VP Compliance	Critical	Q1
VP Sales	High	Q2
VP Engineering	High	Q2

Investment Opportunity

Current Round: Seed

Raising: \$2,000,000

Use of Funds:

- MVP development and compliance infrastructure
- First 3 key hires (CTO, VP Compliance, VP Sales)
- Initial client acquisition and pilots
- 18 months runway

Milestones:

- \$100K MRR
- 10 active clients
- 35% recovery rate validated

Funding Roadmap:

Round	Amount	Timing
Seed	\$2.0M	Now
Series A	\$15.0M	Month 9
Series B	\$50.0M	Month 20

Risk Analysis

Category	Risk	Prob	Impact	Mitigation
Regulatory	FDCPA/TCPA changes could impact...	Medium	High	Compliance-first design, legal...
Market	Lower than projected recovery...	Medium	Medium	Conservative projections, mult...
Competition	BNPL providers build in-house...	Low	High	Fast execution, exclusive cont...
Technology	AI model performance issues...	Low	Medium	Redundant systems, extensive t...
Execution	Unable to hire key talent	Medium	Medium	Competitive compensation, equi...

Exit Strategy

Strategic Acquisition (60% probability)

Timeline: Years 5-7

Valuation Range: \$1.5-2.5B

Potential Acquirers:

- Experian
- TransUnion
- Visa
- Mastercard
- Klarna
- Affirm

Private Equity (25% probability)

Timeline: Years 5-7

Valuation Range: \$3-4.5B (8-12x EBITDA)

Potential Acquirers:

- Vista Equity
- Thoma Bravo

IPO (10% probability)

Timeline: Years 7-10

Valuation Range: \$5-10B

Contact

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